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NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH
COURT NO.1

ATTENDANCE CUM ORDER SHEET OF THE HEARING OF NATIONAL COMPANY LAW TRIBUNAL, BENGALURU BENCH, BENGALURU, HELD ON 06.08.2018.

PRESENT: 1.Hon'ble member (J) **Shri Rajeswara Rao vittanala,**
2.Hon'ble member (T) D**r. Ashok Kumar Mishra**

CP/CA No	Purpose	Section	Name of Petitioner	Petitioner Advocate	Name of Respondent	Respondent Advocate
CP(CAA)No.62/BB/2017	For hearing	Sec 230/ 232	LSI India Research & Development Pvt. Ltd	C.K. Nandakumar		Smt Prema Hatti for ROC/RD

SL. NO.	NAME (IN CAPITAL) & PHONE NUMBER	REPRESENTATION TO WHOM	SIGNATURE

PETITIONER/s :
Raghuram Cadambi — Petitioner

RESPONDENT/s :
Prema Hatti by Proxy Counsel K.Nagaraj — ROC

ORDER

1. Heard Shri Nandakumar, learned counsel for the petitioner and Shri K.Nagaraj, proxy Counsel for Smt.Prema Hatti, learned Standing counsel for ROC. Learned counsel for the Petitioner insisted to dispose of the matter without complying with the objections raised by ROC. ROC report dated 09.07.2018 reads thus:

> "I submit that this office has been communicated by the Regional Director, Ministry of Corporate Affairs, South East Region. Hyderabad, vide his Ref: F.No:3/Karnataka/Amal/822/RD(SER)/2017 dated 06.07.2018 stating therein that he being the competent authority on behalf of the Central Government has examined the subject petition/scheme/documents submitted by the petitioner companies vide affidavit dated 23/04/2018, received by the Directorate on 01/05/2018, and upon such examination, the following observations are made:

In respect of M/s LSI India Research & Development Private limited (Transferee Company)

1. The Transferee Company has violated Sec.203 of the Companies Act, 2013 read with Rule 8A of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014 for not appointing Company Secretary, since the paid up capital is more than Rs.5 Crores. The Company has to appoint Company Secretary and file Compounding application for the period of default.

2. The Transferee Company has violated Section.138 of Companies Act, 2013, read with Rule 13 of Companies (Accounts) Rules, 2014 as internal auditor was not appointed. On that, the petitioner has stated that:

> Sri Hemanth Bafna, Membership No.218410 was appointed as an internal auditor and furnished details of such appointment. However, compounding application for violation of sec.138 of Companies Act, 2013 has not been made for the period of default. Hence, the petitioner company may be directed to file compounding application.

3. One of the related parties of the Transferee company is LSI Corporation, USA which is an Intermediate Holding Company to the Transferee Company to whom certain fixed Assets were sold during 2015-16, by dispatching the Fixed Assets in August 2015 without raising the invoice and the sale proceeds were not received within 9 months of the dispatch of the Fixed Assets which is violation of section 7(1)(a) and Section 7(3) of the FEMA, 1999 read with RBI Master Circular No.: 16/2015 dated 01.01.2016. The Petitioner Company has agreed to the violation and stated that the necessary steps are being taken to file compounding application with condonation of delay before RBI. Hence, RBI may be put to notice on this issue.

Hence, it is respectfully prayed that this Hon'ble Tribunal may be pleased to take into consideration of the above and to pass such order as deemed fir and proper, in the circumstances of the case.

2. In view of the above observation the learned counsel for the petitioner submit he has taken steps and thus addressed a letter dated 01.08.2018 to The Reserve Bank of India , through Bank of America, (The Authorised Dealer Bank), by inter alia seeking to condone the delay in realization of export proceeds for sale of fixed assets beyond the stipulated time frame of nine months.

3. No reply has come from RBI so far. This Tribunal desires to examine the violation that have been observed by ROC on 09.07./2018 before considering the RD also directed to offer his comments. Post the case on 10.09.,2018.

Member (T)

Member (J)

Prema Murray – Steno.